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CUET UG

Economics

Market Equilibrium and Simple Applications

Official Syllabus · Course I: Introductory Microeconomics · Class 12 · CUET UG 2027 Cycle Notes

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Aligned to the latest official syllabus · Concept-first explanations

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course I)	Skills the questions test
Market equilibrium and imbalances	Market equilibrium, excess demand, excess supply	Explaining how D = S fixes the equilibrium price and how excess demand or supply pushes the price back.
Simple applications	Applications: price ceiling and price flooring	Judging when a ceiling or floor binds, and predicting the shortage or surplus (with the government's role) it creates.

EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; this closing micro unit is small but exam-dense — the ceiling-binds-below / floor-binds-above rule and the shortage-surplus chain questions are compact, quick-scoring checks.

Market Equilibrium: The Resting Point

Every market has one price where nobody complains. Buyers get exactly what they plan to buy; sellers sell exactly what they plan to sell; nobody has a reason to bid higher or undercut lower. That price — where the demand curve crosses the supply curve — is the **equilibrium price** P*, with its **equilibrium quantity** Q*.

- **The definition in one line:** equilibrium is where **quantity demanded = quantity supplied** (D = S). There is no tendency to change — the market is at rest.
- **Why the market rests there:** any other price creates frustration, and frustration has a direction:
  - **Price too HIGH** → sellers offer more than buyers want → **excess supply** → unsold stock → sellers undercut → price falls.
  - **Price too LOW** → buyers want more than sellers offer → **excess demand** → empty shelves → buyers bid up → price rises.

- **The invisible hand, mechanically:** competition among SELLERS pushes price down from above; competition among BUYERS pushes price up from below. Both forces point home to P* — the market is a self-correcting thermostat.

EQUILIBRIUM BY SCHEDULE — THE PEN MARKET

Daily demand and supply of ball pens in a town:

Price (₹/ pen)	Demand (pens)	Supply (pens)	Pressure on price
10	1,200	400	Excess demand 800 — price rises
15	1,000	600	Excess demand 400 — still rising
20	800	800	D = S — EQUILIBRIUM
25	600	1,000	Excess supply 400 — price falls
30	400	1,200	Excess supply 800 — falling

- **Equilibrium: ₹20 with 800 pens a day.** Check both sides: buyers plan 800, sellers plan 800 — nobody is frustrated.
- **Any disturbance heals:** if demand later shifts right (exam season!), the whole negotiation reruns and a NEW equilibrium forms at a higher price and quantity.

Excess Demand and Excess Supply: The Adjustment Chains

The syllabus names these two imbalances explicitly, so learn them as chains — cause, pressure, correction. Each chain has three moving parts and one outcome.

Feature	Excess demand	Excess supply
Meaning	Qd > Qs at the ruling price	Qs > Qd at the ruling price
Seen as	Queues, empty shelves, waiting lists	Unsold stock, godowns filling, discounts
Immediate pressure	Buyers compete — some offer MORE	Sellers compete — some accept LESS
Price movement	Rises toward P*	Falls toward P*
How the gap closes	Qd shrinks (dearer) + Qs grows (pricier attracts production)	Qs shrinks (cheaper goods, cutbacks) + Qd grows (bargain hunting)

Feature	Excess demand	Excess supply
Typical trigger	Demand shifts right with supply fixed	Supply shifts right with demand fixed

- **Excess demand chain in words:** shortage → competition among buyers → price rises → demand contracts, supply extends → the gap narrows until it vanishes at P*.
- **Excess supply chain in words:** surplus → competition among sellers → price falls → supply contracts, demand extends → the gap narrows until it vanishes at P*.
- **Both chains teach the same lesson:** free prices are information. A price held away from P* by law does not remove the frustration — it only freezes the correction.

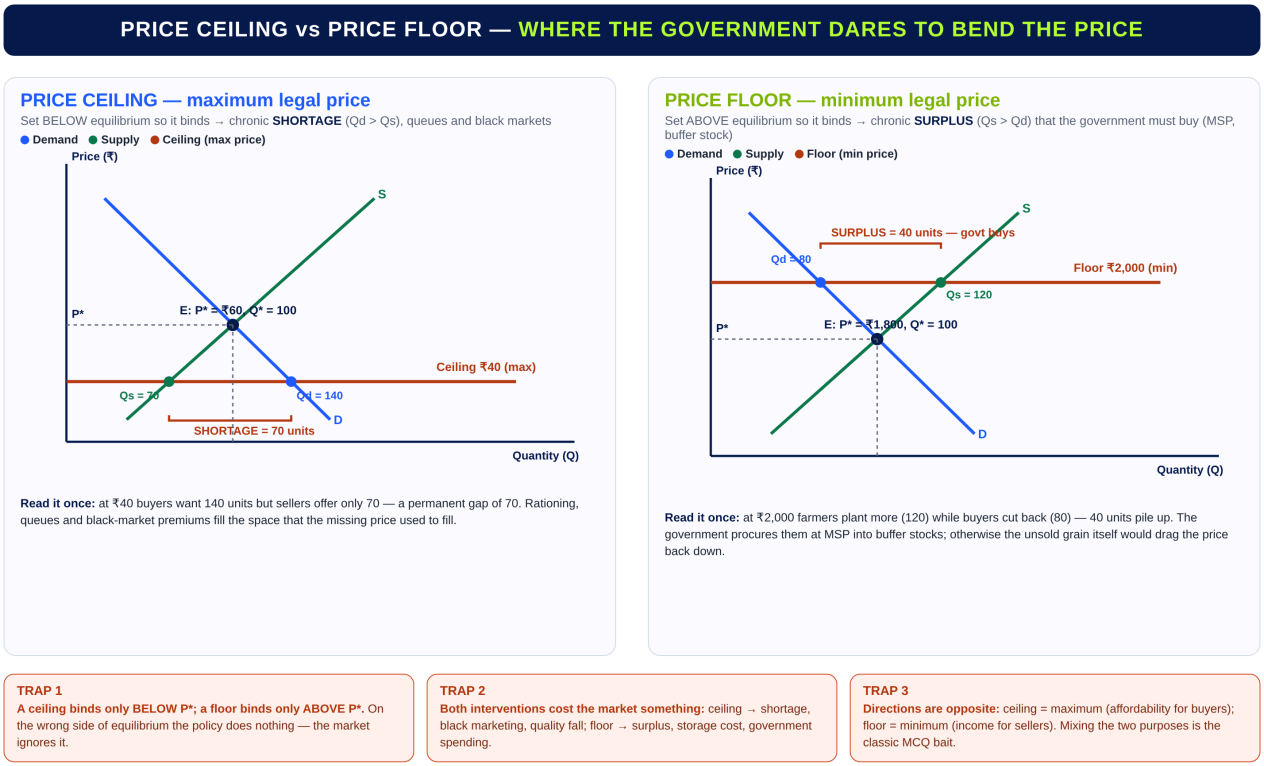


Figure 1: The two government interventions side by side: a ceiling below P* freezes a shortage of 70 units (left); a floor above P* creates a surplus of 40 units that the government procures (right).

Price Ceiling: The Government's Maximum

A **price ceiling** is the highest price the law allows. Governments cap prices of essentials — life-saving medicines, kerosene, emergency housing rents — so that the POOR can afford them. The intention is protection; the mechanics create a famous set of side-effects you must be able to list.

- **The binding condition (the most-tested line in this unit):** a ceiling binds only when set BELOW the equilibrium price. Cap a ₹60 medicine at ₹40 — binding. Cap it at ₹80 — the market shrugs and stays at ₹60; the law is dead letter.
- **What happens at a binding ceiling:** at the capped price, buyers demand MORE (law of demand) while suppliers produce LESS — a permanent **shortage**: Qd > Qs.
- **The shortage's four classic consequences:**

- **Long queues and waiting** — the good goes to whoever can spend TIME, not money.
- **Rationing** — the government distributes scarce supply fairly (ration shops, token systems).
- **Black marketing** — illegal sales ABOVE the cap; buyers who missed the queue pay a premium to jump it.
- **Quality fall** — sellers cut corners when they cannot charge what the good is worth.

- **Everyday anchors:** caps on essential medicines during shortages; rent control in big cities (landlords withdraw flats from the market — a supply cut inside a shortage).

CEILING ARITHMETIC — THE CAPPED MEDICINE

Equilibrium: P* = ₹60, Q* = 100 units. The government caps the price at ₹40. At ₹40: buyers demand 140; producers offer 70.

- Shortage = Qd − Qs = 140 − 70 = **70 units** — every week, 70 buyers go home empty.
- **Black-market read:** those 70 want the good badly enough that some will pay above ₹60 illegally — the gap between willingness and the cap becomes black-market premium.
- **If the cap were ₹80 instead:** buyers demand less than 100 and sellers offer more — the market simply clears at ₹60. A ceiling ABOVE P* is decoration, not policy.

Price Floor: The Government's Minimum

A **price floor** is the lowest legal price — the mirror-image policy. Governments raise floors for SELLERS: the Minimum Support Price (MSP) for crops protects farm incomes; the minimum wage protects workers. The mechanics rhyme with the ceiling, but the frustration lands on the other side of the market.

- **The binding condition:** a floor binds only when set ABOVE the equilibrium price. Announce MSP ₹2,000 per quintal when the market would have paid ₹1,800 — binding. Announce ₹1,500 — meaningless, the market pays ₹1,800 anyway.
- **What happens at a binding floor:** at the guaranteed price, producers supply MORE while buyers purchase LESS — a permanent **surplus**: Qs > Qd.
- **The surplus's fate (learn the chain):**
  - Unsold stock accumulates with sellers — the market alone would push the price back down.
  - The **government procures** the surplus at the floor price — wheat and rice mount up as **buffer stocks**.
  - Buffer stocks serve two later purposes: release during price spikes and welfare distribution (public distribution).
  - Costs: storage and wastage expenses sit on the government's budget — the policy's price tag.

- **Labour markets use the same floor:** a **minimum wage** above the equilibrium wage creates a surplus of labour — that surplus is called **unemployment**. Same diagram, different nouns.

FLOOR ARITHMETIC — MSP FOR GRAIN

Equilibrium: P* = ₹1,800 per quintal, Q* = 100 (lakh quintals). The government announces MSP ₹2,000. At ₹2,000: farmers supply 120; buyers take 80.

- Surplus = Qs − Qd = 120 − 80 = **40 units** — grain with no private buyer.
- **Government procurement:** the state buys the 40 units at ₹2,000 — farm incomes protected by design, buffer stocks built as a by-product.
- **Budget read:** procurement is not free — ₹2,000 × 40 = ₹80,000 (in lakh-rupee terms) plus storage. Every floor has a fiscal invoice.

Which Intervention Binds? The 2×2 That Decides Marks

Policy	Set on the binding side	Set on the dead-letter side
Price CEILING (maximum)	Below P* → shortage, queues, rationing, black market	Above P* → market ignores it, equilibrium stands
Price FLOOR (minimum)	Above P* → surplus, procurement, buffer stock	Below P* → market ignores it, equilibrium stands

- **One-line memory frame:** the ceiling pushes DOWN from above (must start below P*); the floor pushes UP from below (must start above P*). An intervention only bites when it fights the market's own direction.
- **Predicting outcomes, fast:** identify P* → locate the legal price relative to it → name the imbalance (shortage or surplus) → name its consequence chain. Four steps, full marks in application questions.

Key Formulas & Rules: One-Stop Revision

MARKET EQUILIBRIUM AND APPLICATIONS — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
Equilibrium	D = S fixes P* and Q*; no tendency to change	Define the resting point
Excess demand	Qd > Qs → price rises toward P*	Queue-and-shortage scenarios
Excess supply	Qs > Qd → price falls toward P*	Glut-and-discount scenarios

Rule	Statement	When to use it
Adjustment agents	Buyers bid up shortages; sellers undercut surpluses	Name the competition force
Price ceiling	Maximum legal price; binds only BELOW P*	Medicines, essentials, rent control
Ceiling effects	Shortage → queues, rationing, black market, quality fall	List the four consequences
Price floor	Minimum legal price; binds only ABOVE P*	MSP, minimum wages
Floor effects	Surplus → government procurement → buffer stocks	Trace the surplus chain
Minimum wage	Floor above equilibrium wage → labour surplus = unemployment	Labour-market application
Dead-letter rule	Ceiling above / floor below P* does nothing	The classic 2×2 MCQ
Fiscal cost	Procurement = floor price × surplus quantity	Quantify the policy's bill

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"Ceiling above P* protects buyers more"	A ceiling binds ONLY below P*; above it nothing changes	The dead-letter 2×2 question
"A shortage means demand fell"	Demand is INTACT — buyers want 140; supply retreated to 70	Shortage vs demand-fall vocabulary
"Floors help everyone"	A floor taxes buyers and the budget: surplus, storage, procurement bills	Floor-cost numericals
"Black market is random cheating"	Its premium exists because the capped price leaves a Qd − Qs gap unserved	Black-market logic MCQs

The rule you assume	The twist	The trap in the question
"Minimum wage creates jobs"	Above equilibrium wage it creates UNEMPLOYMENT — a labour surplus	Labour-market application
"Government sets ceiling, price falls to it"	Only the BINDING side moves the market; the other side is ignored	Which-price-prevails questions
"Surplus under MSP is wasted"	Procurement converts it into buffer stocks — release and PDS uses	Buffer-stock purpose checks
"Equilibrium never moves"	Any D or S shift re-prices the market; equilibrium is a resting point, not a permanent one	Comparative-statics chains

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Qd = 300, Qs = 180 at the current price.** Name the imbalance and the price move. → Excess demand of 120; price rises.
- **Ceiling ₹50, equilibrium ₹65.** Binds? What appears? → Binds (below P*) — shortage with queues and black-market premium.
- **Floor ₹900, equilibrium ₹1,100.** Binds? → No — floor below P* is dead letter; market stays at ₹1,100.
- **MSP ₹2,200; Qs 150, Qd 110.** Government buys? → 40 units — buffer stock, costing 40 × 2,200.
- **Minimum wage pushed well above equilibrium.** Labour market outcome? → Labour surplus — unemployment.
- **Which force pushes price DOWN?** → Competition among sellers with unsold stock (excess supply).

The Whole Chapter in One Picture

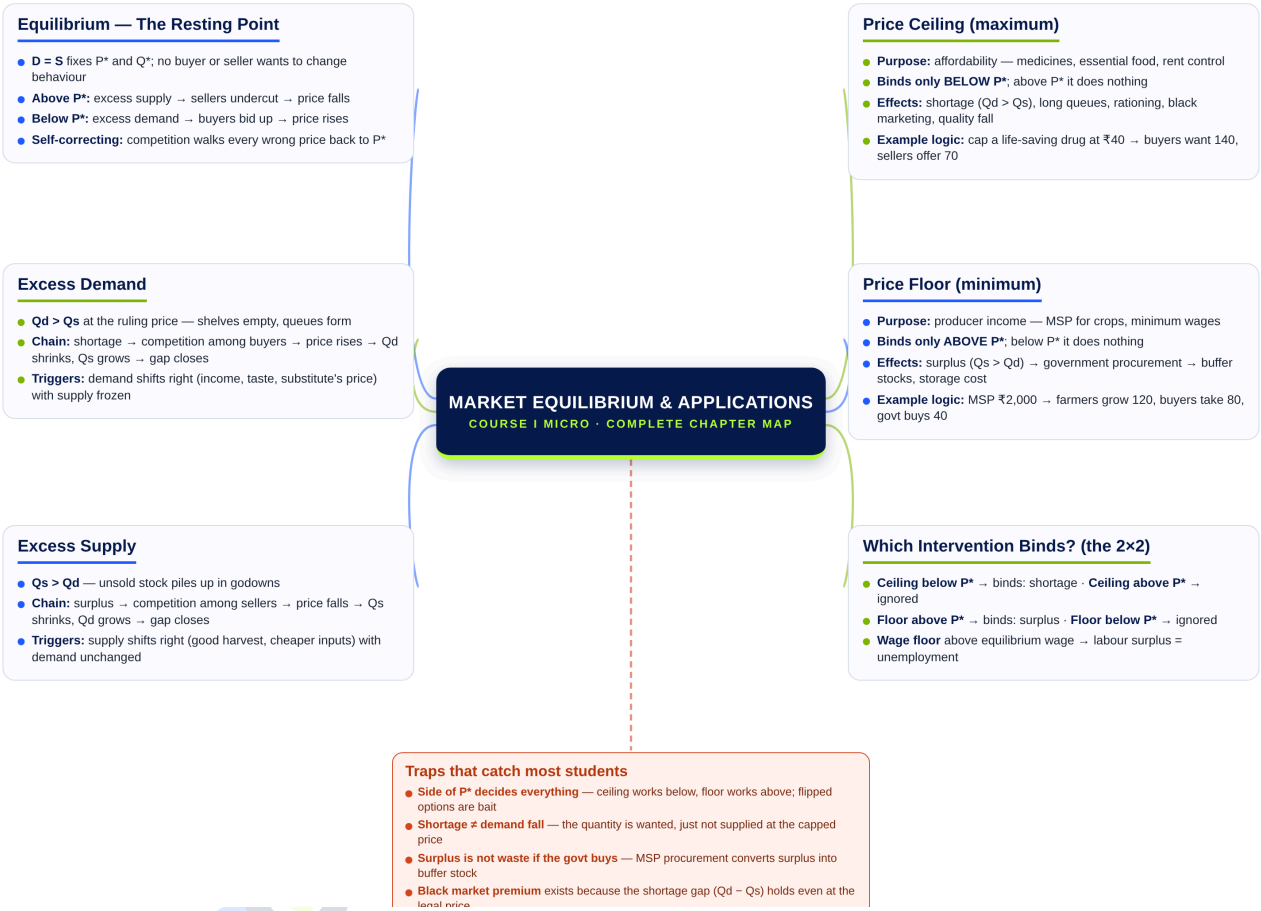


Figure 2: Chapter mindmap: the equilibrium resting point, the two adjustment chains, the ceiling's shortage machinery, the floor's surplus machinery, and the binding-side 2×2 — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and takes nothing away for a wrong one.

Q1. Market equilibrium is a situation in which:

(A) supply exceeds demand
(B) demand exceeds supply
(C) quantity demanded equals quantity supplied
(D) prices are fixed by government

Q2. At a price ABOVE the equilibrium price, there is:

(A) excess demand and price will rise
(B) excess supply and price will fall
(C) excess demand and price will fall
(D) no pressure on price

Q3. A price ceiling is effective (binding) only when it is set:

(A) above the equilibrium price (B) below the equilibrium price
(C) equal to the equilibrium price (D) anywhere the government likes

Q4. A binding price ceiling typically leads to:

(A) a surplus and government procurement (B) a shortage, queues and black marketing
(C) higher production and lower demand (D) no change in the market

Q5. The main purpose of a price floor such as MSP is to:

(A) make goods affordable for the poor (B) protect producers' incomes
(C) reduce government stocks (D) increase competition among sellers

Q6. When the government procures the surplus created by a binding floor, the stock is called:

(A) black market stock (B) buffer stock
(C) deadweight stock (D) ration stock

Q7. A price ceiling set ABOVE the equilibrium price will:

(A) create a shortage (B) create a surplus
(C) have no effect on the market (D) raise the equilibrium price

Q8. A minimum wage set above the equilibrium wage results in:

(A) shortage of labour (B) surplus of labour (unemployment)
(C) higher employment (D) no change in employment

Q9. Under a binding ceiling, rationing is used to:

(A) raise the black-market price (B) distribute the scarce supply fairly
(C) increase production (D) shift the demand curve

Q10. Excess demand at the ruling price sets off which chain?

(A) sellers undercut → price falls (B) buyers bid up → price rises
(C) government imports → price fixed (D) supply curve shifts left automatically

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. Equilibrium is precisely the price-quantity pair where the two plans agree: Qd = Qs. Neither side is frustrated, so no force pushes the price away — that is what "equilibrium" means.

Answer: (C)

Sol. Q2. A high price makes sellers offer plenty and buyers step back — Qs > Qd, excess supply. Unsold stock makes sellers undercut each other, so the price FALLS toward equilibrium.

Answer: (B)

Sol. Q3. The ceiling is a MAXIMUM. It only restrains the market when the legal max sits below where the market wants to be — below P*. At or above P*, the equilibrium price is already legal.

Answer: (B)

Sol. Q4. Below P*, buyers demand more than sellers offer: Qd > Qs. The gap shows up as queues, rationing and black-market premiums — the ceiling's signature shortage. Procurement belongs to floors.

Answer: (B)

Sol. Q5. Floors guarantee sellers a minimum — MSP secures farm incomes, minimum wages secure workers. Making goods affordable is the CEILING's job; the purposes are mirror images.

Answer: (B)

Sol. Q6. The government buys the floor-induced surplus at the guaranteed price; the accumulated stock is the buffer stock, released in lean years or channelled through welfare schemes.

Answer: (B)

Sol. Q7. A ceiling above P* allows the old equilibrium price — the market keeps trading at P*, unmoved. Interventions bite only when they fight the market's direction.

Answer: (C)

Sol. Q8. A higher legal wage makes firms hire fewer workers while more workers offer their labour — Qs > Qd in the labour market. The surplus of labour has a name: unemployment.

Answer: (B)

Sol. Q9. With only 70 units available for 140 willing buyers, some fair-share rule must allocate the gap — ration shops and token systems. Rationing manages the shortage; it does not create supply.

Answer: (B)

Sol. Q10. Too little supply at the ruling price means frustrated buyers — some offer to pay more. Their bidding pushes the price up, which simultaneously trims Qd and attracts Qs until the gap closes.

Answer: (B)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q2 option A	Reversing the pressure	Above P* means TOO MUCH supply — price falls; below P* means too much demand — price rises
Q3 option A	Placing the ceiling on the wrong side	Ceiling = maximum → it must sit BELOW P* to bite; above it the law is decorative
Q4 option A	Mixing ceiling with floor gear	Procurement and surplus belong to FLOORS; ceilings manufacture shortages
Q5 option A	Swapping the two purposes	Ceiling protects buyers' pockets; floor protects sellers' incomes
Q7 option A	Assuming every cap acts	Only a binding intervention moves a market — wrong-side policies are dead letters
Q8 option A	Reading wages like goods prices	A floor on wages creates a labour SURPLUS — unemployment, not a labour shortage
Q10 option D	Inventing automatic shifts	Prices adjust through competition among buyers/sellers — curves shift only when determinants change

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